

Vanilla Option Model Validation Report

Baseline Validation — Date: 2024-09-01

1. Executive Summary

This validation provides an overview of the model performance and governance.

2. Model Purpose and Use

The model is designed to price vanilla and exotic options.

3. Model Overview

This section provides an overview of the model's pricing mechanisms.

4. Key Limitations/Weaknesses and Associated Model Risks

Key limitations include volatility assumptions and model calibration.

5. Validation Scope and Approach

The validation scope includes conceptual soundness, model performance, and ongoing monitoring.

6. Data Quality

The data quality was assessed based on completeness, accuracy, and reliability.

7. Conceptual Soundness

The model is conceptually sound with a well-structured pricing mechanism.

8. Model Performance

8.1 Latest Pricing Result

Metric	Value
Price	37.4314
Delta	1.0000
Gamma	0.0000
Vega	0.0326
Theta	-5.7835
Rho	289.1510

8.2 Sensitivity Analysis

Sensitivity analysis was conducted on target variable with respect to changes in the input variable.

No plot available.

MRM Assessment: No assessment available.

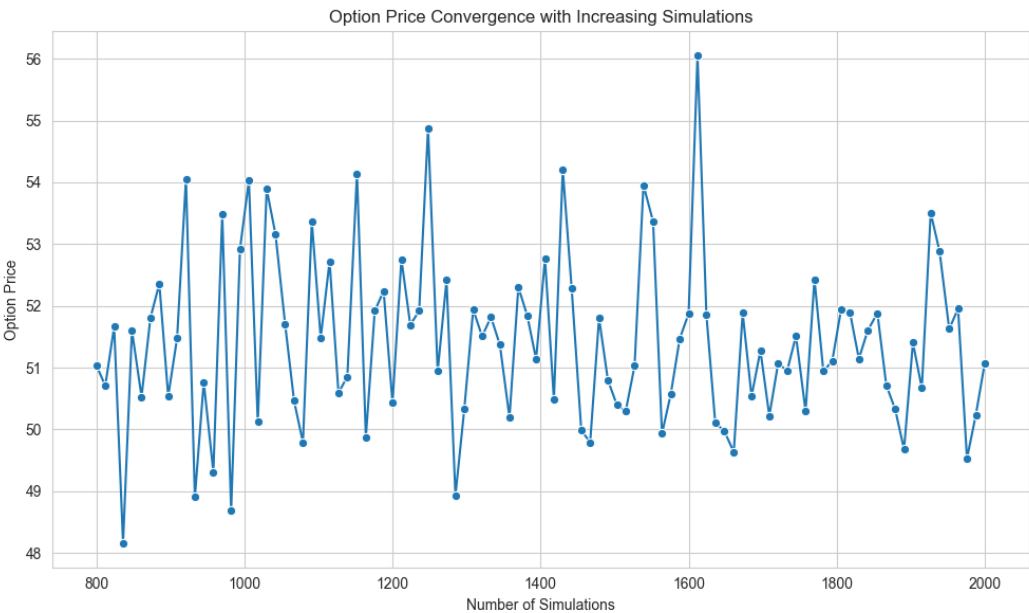
8.3 Scenario Analysis

Scenario analysis was conducted with stress on spot price, volatility, and interest rates.

No scenario results available.

MRM Assessment: No assessment available.

8.4 Convergence Analysis



Step / Paths	Value
800	51.0342
812	50.7080
824	51.6632
836	48.1607
848	51.5994
861	50.5285
873	51.8060
885	52.3564
897	50.5373
909	51.4773
921	54.0528
933	48.9021

945	50.7631
958	49.3102
970	53.4777
982	48.6821
994	52.9250
1006	54.0294
1018	50.1224
1030	53.8910
1042	53.1536
1055	51.6947
1067	50.4620
1079	49.7875
1091	53.3693
1103	51.4790
1115	52.7214
1127	50.5916
1139	50.8541
1152	54.1423
1164	49.8725
1176	51.9188
1188	52.2386
1200	50.4294
1212	52.7539
1224	51.6928
1236	51.9175
1248	54.8729
1261	50.9402
1273	52.4165
1285	48.9295
1297	50.3338
1309	51.9381
1321	51.5073
1333	51.8168

1345	51.3708
1358	50.1933
1370	52.3017
1382	51.8426
1394	51.1339
1406	52.7641
1418	50.4829
1430	54.2079
1442	52.2823
1455	49.9834
1467	49.7901
1479	51.8003
1491	50.7934
1503	50.3985
1515	50.2927
1527	51.0298
1539	53.9544
1552	53.3641
1564	49.9292
1576	50.5774
1588	51.4705
1600	51.8717
1612	56.0475
1624	51.8577
1636	50.1033
1648	49.9764
1661	49.6337
1673	51.8834
1685	50.5368
1697	51.2756
1709	50.2196
1721	51.0752
1733	50.9428

1745	51.5138
1758	50.2947
1770	52.4274
1782	50.9408
1794	51.1068
1806	51.9437
1818	51.8874
1830	51.1427
1842	51.6026
1855	51.8823
1867	50.7154
1879	50.3257
1891	49.6751
1903	51.4046
1915	50.6667
1927	53.5055
1939	52.8799
1952	51.6257
1964	51.9548
1976	49.5286
1988	50.2356
2000	51.0726

MRM Assessment: No assessment available.

9. Benchmarking

Benchmarking analysis compares the model outputs with standard benchmarks.

10. Risk P&L; (RPBL) Analysis

Risk P&L; analysis compares realized profit and loss against theoretical risk-based estimates.

11. Model Governance

Governance details for the model.

12. Appendix

Appendix content.